NORTHERN GULF PORTS AUTHORITY · PROCUREMENT DIRECTORATE

Procurement Commercial & Contract Terms Standard

Document code	**PCT-07**
Version	7.0
Effective date	1 July 2025
Classification	Internal: may be shared with bidders

> **SAMPLE DOCUMENT.** Fictional standard created to test procurement-evaluation software.

1. Purpose and scope

1.1 This standard sets uniform commercial and contractual conditions for NGPA procurements so that bids are comparable and the Authority's financial and legal interests are protected.

1.2 It applies to all tenders and contracts of the Authority. Tender documents set the specific values (currency, percentages, periods) within the limits of this standard.

1.3 Requirements are identified by a code (e.g. COM-01) and a priority: Mandatory requirements must be met; Important requirements are expected and weigh heavily in evaluations; Desirable requirements are good practice.

2. Definitions

Term	Meaning
Licensed bank	A bank licensed by the Central Bank of the State.
Local value added	The share of the contract value produced in the State (labour, assembly, materials, services).

3. Financial securities

3.1 **COM-01** — Bid securities, advance payment guarantees and performance securities shall be issued or confirmed by a bank licensed in the State. (Mandatory)

3.2 **COM-03** — Advance payments are made only against an advance payment guarantee of equal value. (Mandatory)

3.3 **COM-05** — A performance security of at least 10% of the contract price, valid until 28 days after final acceptance, is required. (Mandatory)

4. Prices and payments

4.1 **COM-02** — Prices shall be quoted in the currency stated in the tender documents; capital prices are firm unless the contract provides otherwise. (Mandatory)

4.2 **COM-04** — Apart from the advance payment, no milestone payment may exceed the value of the work delivered or accepted at that milestone. (Important)

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4.3 **COM-09** — Maintenance, spare-part and support prices for the maintenance period shall be quoted per year; any annual escalation shall not exceed the cap stated in the tender documents. (Important)

5. Transparency and integrity

5.1 **COM-06** — Bidders shall disclose every subcontractor performing more than 10% of the contract value and any conflict of interest. (Important)

5.2 **COM-10** — Bidders shall sign the Authority's integrity pledge; any breach leads to disqualification and may lead to debarment. (Mandatory)

5.3 **COM-08** — Bidders claiming local value added shall provide a breakdown certified by an independent auditor. (Important)

6. Contract conditions

6.1 **COM-07** — The supplier's own general terms and conditions do not apply to Authority contracts. (Mandatory)

6.2 **COM-12** — Contracts are governed by the laws of the State, with arbitration seated in the capital. (Important)

7. Invoicing

7.1 **COM-11** — Invoices shall be in English, quote the tender reference, follow the line items of the price schedule and show the supplier's tax registration number. (Desirable)

8. Compliance verification and exceptions

8.1 The Procurement Directorate checks compliance during bid evaluation and contract award.

8.2 Deviations require the prior written approval of the Tender Committee and must be recorded in the evaluation report.

Annex: requirements register

Code	Requirement	Priority
COM-01	Bid securities, advance payment guarantees and performance securities shall be issued or confirmed by a bank licensed in the State.	Mandatory
COM-02	Prices shall be quoted in the currency stated in the tender documents; capital prices are firm unless the contract provides otherwise.	Mandatory
COM-03	Advance payments are made only against an advance payment guarantee of equal value.	Mandatory
COM-04	Apart from the advance payment, no milestone payment may exceed the value of the work delivered or accepted at that milestone.	Important
COM-05	A performance security of at least 10% of the contract price, valid until 28 days after final acceptance, is required.	Mandatory

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COM-06	Bidders shall disclose every subcontractor performing more than 10% of the contract value and any conflict of interest.	Important
COM-07	The supplier's own general terms and conditions do not apply to Authority contracts.	Mandatory
COM-08	Bidders claiming local value added shall provide a breakdown certified by an independent auditor.	Important
COM-09	Maintenance, spare-part and support prices for the maintenance period shall be quoted per year; any annual escalation shall not exceed the cap stated in the tender documents.	Important
COM-10	Bidders shall sign the Authority's integrity pledge; any breach leads to disqualification and may lead to debarment.	Mandatory
COM-11	Invoices shall be in English, quote the tender reference, follow the line items of the price schedule and show the supplier's tax registration number.	Desirable
COM-12	Contracts are governed by the laws of the State, with arbitration seated in the capital.	Important

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